WILDFIRE MITIGATION · COST RECOVERY · SEDALIA, COLORADO

Ways to recover the cost of your mitigation work

Prepared for **Lonnie** — property in Sedalia, Douglas County, Colorado
Prepared by **Sixfold Colorado** · September 2026
Informational only — not tax, legal, or insurance advice.

Here is what applies to a property in Sedalia — the statewide programs and the Douglas County ones, and nothing from other counties you can't claim from here.

READ THIS FIRST

The programs split into two groups. **Group 1** can be used for this project once it's finished and paid for. **Group 2** has to be approved *before* the work starts — so it can't be applied to the work wrapping up now, but line it up before any additional phase. Every figure and date below can change year to year; confirm the current terms with the program, and your own eligibility with your accountant and your insurer.

Group 1 — for this project

No application, no waiting list. Both are claimed once the work is done and paid for, using your invoice and photos.

STATEWIDE COLORADO INCOME TAX CREDIT C.R.S. 39-22-543

Colorado wildfire-mitigation income tax credit

WHAT IT IS	A credit on your Colorado state income tax return for what you paid a contractor to reduce wildfire risk on your own land.
HOW MUCH	100% of the qualifying cost, capped at **$1,000** for tax years 2025 and 2026. The cap rises to **$2,000** for tax years 2027–2030, and in those years it becomes **refundable** — you can receive it even if you owe no state tax. Income limits apply (roughly $300,000 AGI from 2027; the 2026 limit had not been published as of this writing).
APPLIES TO	Any private land in Colorado — there is no wildland-urban-interface test. Only paid third-party contractor work counts (your Sixfold invoice); your own equipment or DIY labor does not.
QUALIFYING WORK	Creating defensible space, building fuel breaks, thinning woody vegetation to protect structures, and treating the resulting slash (chipping, hauling off, lop-and-scatter, piling, or pile burning) — done to Colorado State Forest Service or Division of Fire Prevention & Control standards.
HOW TO CLAIM	Your accountant files **Form DR 0104CR** with your Colorado return for the tax year you paid, keeping the invoice and a note of the standard the work met. Sixfold does not prepare or file returns.

Worth checking: the credit is for work whose main purpose is reducing wildfire risk to structures. If your project was mainly downed-wood and slash cleanup, ask your accountant whether it meets that purpose test before claiming — and keep the invoice either way. Sixfold can give you an itemized invoice that separates the vegetation work from anything non-qualifying, plus a short written statement of the standard the crew worked to.

STATEWIDE INSURANCE COLORADO HB25-1182

Wildfire-mitigation discount on your homeowners insurance

WHAT IT IS	Since **July 1, 2026**, Colorado law requires an insurer that uses a wildfire risk score to: tell you your score in writing every year; tell you what mitigation discounts are available; factor the defensible-space work you've actually done into your score and price; give you a discount for documented mitigation even if it has no formal model of its own; and let you appeal the score.
HOW MUCH	There is **no set percentage** — it varies by carrier. Expect it to count in your favor; don't expect a specific number.
HOW TO USE IT	Send your carrier or agent documentation of what was cleared, where, and to what spacing — before and after — and ask them to re-evaluate your wildfire risk score or apply the mitigation discount. If the score looks wrong, use the appeal right. Sixfold can give you dated before-and-after photos from fixed positions and a written scope of exactly what was cut and where — the package carriers ask for. Sixfold will not contact your insurer or promise a discount amount.
BACKSTOP	If you can't get or keep coverage, the Colorado FAIR Plan (started April 2025) offers up to $750,000 residential, on an actual-cash-value basis. A last resort, not a target.

Group 2 — if you do more mitigation

Each of these must be approved before the work begins, so they can't be applied to the project you're finishing now. Line them up before any additional work.

DOUGLAS COUNTY COST-SHARE GRANT FUTURE WORK ONLY

Douglas County Wildfire Mitigation Cost-Share Program

WHAT IT IS	The county pays **50%** of an approved defensible-space or fuels-reduction project, up to **$25,000** for an individual property. Larger pots exist for community projects (up to $50,000) and community chipping or slash pickup (up to $7,000).
THE CATCH	You apply and are selected **before** doing the work. The 2026 application window was **April 13 – May 13**; a second window was anticipated for late 2026 — check the county for current dates. Selected projects are notified in the fall; the county inspects the finished work and releases its share after you show proof you paid your part.
APPLICATION NEEDS	A detailed scope of work, a site map, and **two estimates from contractors on the county's approved list**. The county maintains that list — ask the Building Division.
WHERE	Douglas County — Building Division, Wildfire Mitigation (douglasco.gov → Building Division → Wildfire Mitigation).

This is a Douglas County program. The county runs it and maintains the approved-contractor list — Sixfold does not administer it.

STATE — MAPPED AREAS COST-SHARE FUTURE WORK ONLY

Colorado Strategic Wildfire Action Program (COSWAP) — landowner cost-share

WHAT IT IS	A state program that reimburses a private landowner **up to 50%** of a wildfire mitigation project, after a free home wildfire risk assessment. Douglas County is one of COSWAP's focus areas.
THE CATCH	Available only to parcels inside COSWAP's **current mapped program area**; the free assessment comes first, and only work started **after** your application is approved counts. The mapped areas change from cycle to cycle.
WHERE	Colorado Department of Natural Resources / Colorado State Forest Service. Some of this money is delivered through the Douglas County program above rather than as a separate application — ask the county or a State Forest Service forester whether your address is in a current COSWAP area and how to reach the funds.

FEDERAL — STATEWIDE USDA NRCS LAND MUST QUALIFY

NRCS Environmental Quality Incentives Program (EQIP)

WHAT IT IS	Federal cost-share for brush management, fuel breaks, forest-stand improvement, and thinning — but only on land that qualifies as agricultural or non-industrial private forestland. A standard subdivided house lot generally does not qualify; real acreage may.
THE CATCH	Apply through your local USDA / NRCS field office **before** the work. It's a planned program with competitive ranking, not a quick reimbursement.
WHERE	USDA Service Center for Douglas County / Colorado NRCS.

STATEWIDE PROPERTY-TAX CLASSIFICATION 40+ FORESTED ACRES

Colorado State Forest Service “Forest Ag” property-tax classification

WHAT IT IS	Not a rebate — a change to how your land is taxed. If you own **40 or more contiguous forested acres** and manage them under a forest management plan approved by the Colorado State Forest Service, the land can be valued for property tax as agricultural instead of residential or vacant — usually a large, ongoing reduction.
THE CATCH	Apply by **October 1** with a completed forest management plan and an inspection request. Mitigation work done to that plan can help satisfy the plan requirement.
WHERE	Colorado State Forest Service, plus the Douglas County Assessor.

What won't apply — so you don't chase it

- **Disaster programs** — casualty-loss tax deductions, FEMA assistance, SBA disaster loans — are for property damaged in a federally declared disaster, not for preventive work.
- **The old Colorado tax *subtraction*** (a separate, expired benefit that ended after tax year 2024) and the **Wildfire Resilient Homes Grant** (repealed, ended July 1, 2026). Some older guides still list both.
- **Other counties' homeowner programs** — Boulder County's Wildfire Partners, and similar programs in Grand, Eagle, Larimer and elsewhere — are limited to residents of those counties and can't be claimed from Douglas County.
- **State and federal fuels grants** (FRWRM, Community Wildfire Defense Grant, FEMA BRIC) — real money, but only HOAs, fire districts, water providers and nonprofits can apply, not individuals.

One rule if you combine them

Colorado's tax credit specifically excludes any cost that was paid or reimbursed by a grant. So if a future phase gets the Douglas County 50% match, the state credit applies only to *your* half. The programs can be combined — your accountant can tell you how they interact — but the same dollar can't be covered twice. And if you do receive a grant or cost-share payment, ask your tax preparer how it's treated on your federal return.

Documents to keep

For any of these you'll need proof of the work and what you paid:

- An itemized invoice showing the amount paid and what it was for
- A written description of what was cleared or cut, and where
- Before-and-after photos

Sixfold provides all three with the job — ask if you need another copy.

Prepared by Sixfold Colorado for Lonnie — September 2026. Informational only; not tax, legal, or insurance advice. Program terms, dollar caps, income limits, and application windows change from year to year — confirm the current rules with each program, and your own eligibility with your accountant and your insurer, before relying on anything here.

Questions about the work or the paperwork Sixfold provides: (303) 915-1045 · Contact@SixfoldColorado.com

SOURCES

- Colorado Department of Revenue — *Income Tax Topics: Wildfire Mitigation Measures / Wildfire Tax Benefits*; C.R.S. 39-22-543 as amended by HB24-1036 and HB26-1289; Colorado General Assembly 2026 tax-expenditure evaluation (2026-TE4).
- Colorado HB25-1182 (leg.colorado.gov); Colorado Division of Insurance; Colorado FAIR Plan.
- Douglas County Wildfire Mitigation Cost-Share Program (douglasco.gov); *Denver Gazette*, April 1, 2026.
- Colorado Strategic Wildfire Action Program (COSWAP) — Colorado Department of Natural Resources / Colorado State Forest Service; Governor's Office program updates.
- USDA Natural Resources Conservation Service — Environmental Quality Incentives Program, Colorado.
- Colorado State Forest Service — Forest Agricultural Land Recognition program (enacted by HB90-1229).